

The Essential VSOP Framework & Checklist

An EWOR Guide and Checklist

Early-stage startups frequently struggle to attract top talent as they can't offer competitive salaries. To attract top talent, many therefore offer equity-linked incentives to ensure employees get a piece of the potential upside.

In Europe, **Virtual Stock Option Plans (VSOPs)** are a popular choice over traditional stock options (**ESOPs**), often because of the more favourable tax treatment for employees.

This guide covers the essentials: allocation benchmarks, tax implications, and structuring strategies, including an actionable checklist.

VSOPs in a Nutshell

- VSOPs grant a contractual right to a future cash payout, not actual company shares like ESOPs.
- The payout is based on the increase in the company's share value from the grant date to a liquidity event.
- Payouts are typically triggered by a liquidity event, such as the company's acquisition or Initial Public Offering (IPO).
- Upon a liquidity event, employees receive a cash payment based on the calculated increase in share value.
- Employees do not become shareholders. Therefore, they do not have voting rights or receive dividends (unless otherwise specified) before the payout.

The Advantages of VSOPs

Offering VSOPs provides significant benefits for both employees and employers.

Key Advantages for the Employee

- **Benefit from the company's increase in value** to which they have contributed.
- **No need to invest their own capital upfront**, as employees do not need to purchase shares (unlike ESOPs).
- **Simplified legal and tax considerations** compared to ESOPs. In most jurisdictions, employees pay income tax on the cash payout, rather than capital gains tax (and potential income tax) on ESOP shares.

Key Advantages for you as Employer

- **Attract and retain top talent** by offering a competitive compensation package and allowing employees to benefit from the company's growth and success.
- **Conserve cash** by reducing the immediate need for high salaries.
- **Simplified administration**, as VSOPs generally involve less complex legal and administrative processes than ESOPs.

Your VSOP Checklist

Structuring the VSOP Pool

- 1 Determine how much to allocate to the VSOP Pool**
 - **Benchmark:** Most European startups allocate 10–15% of their pre-diluted equity to a VSOP pool at the pre-seed stage. Although VSOPs are not actual shares, the VSOP pool still dilutes with each consecutive funding round.
 - **Create the VSOP pool before fundraising** to ensure dilution is shared with investors. Institutional investors often require you to set up a VSOP pool if you haven't done so already.
 - **Plan for dilution**, ensuring VSOP grants remain attractive after funding rounds by potentially topping the pool up over time to accommodate key hires throughout the lifetime of your company.
- 2 Define what qualifies as a liquidity event**
 - **Benchmark:** In most cases, an acquisition of the majority of the company's shares and an IPO qualify as liquidity events.
- 3 Decide on the vesting schedule**
 - **Benchmark:** A 4-year vesting schedule with a 1-year cliff is commonly implemented.
 - To retain talent beyond the 4-year vesting period, it can be beneficial to **refresh grants**.
 - Avoid **accelerated vesting** unless required by an acquisition agreement.
- 4 Define payout conditions, vesting terms, exit scenarios**
 - Clearly define payout conditions, vesting terms, and exit scenarios in legal agreements, such as our [template](#).
- 5 Keep track of the total VSOP allocation**
 - Keep track of the total **VSOP allocation** to avoid overpromising equity, for instance by using our [VSOP Dashboard](#).

Allocating VSOP Grants

- 1 Determine how much to allocate to a new hire**

Benchmark: Base your allocation on market benchmarks for role, experience level, and the stage at which the employee joins the company. Adjust for industry-specific needs. You can find a benchmark at the bottom of this document.
- 2 Be transparent**

Be transparent about how the VSOPs work and the value it could deliver.
- 3 Prepare cap table simulations**

Provide cap table simulations to help employees visualise their payout potential, for instance by using [our template](#).
- 4 Outline liquidity options**

Clearly outline the liquidity options, including when and how employees can cash out their VSOPs.
- 5 Discuss taxes**

Talk about the tax implications — especially payout timing — to the new hire.
- 6 Offer letter and VSOP agreement**

Ask the new hire to sign both the offer letter and the VSOP agreement, and ensure the signed copies are securely stored.

Distribution Benchmarks

The amount of VSOPs granted varies by role, experience level, and company stage. Below is a benchmark for typical B2B SaaS startups at the pre-seed stage.

Different industries require different equity structures.

Deep Tech startups (AI, Biotech, Hardware) tend to offer larger grants due to the specialised skill sets required, whereas Consumer & SaaS startups follow standard benchmarks but optimise for liquidity and exit strategies.

Technical Roles (Engineering)

- Senior Front-End Engineer → 0.72%
- Mid-Level Front-End Engineer → 0.45%
- Senior Back-End Engineer → 0.75%
- Senior iOS Developer → 0.60%

Non-Technical Roles (Product, Design, Business Development)

- Senior Head of Design → 0.52%
- Senior Head of Business Development → 0.49%
- Mid-Level Product Manager → 0.36%

General Equity Allocation Guidelines

- Senior technical hires: ~0.5–1.0%
- Mid-level technical hires: ~0.3–0.6%
- Senior business/product hires: ~0.3–0.7%
- Mid-level business/product hires: ~0.2–0.5%

Disclaimer

This guide is for informational purposes only and should not be considered legal or financial advice. Always consult a qualified professional before making any decisions related to VSOPs.

